

Peltz Defendants argue that Plaintiffs cannot assert a cause of action under the CLRA because neither are “consumers” as defined by the statute. Specifically, the Complaint alleges that Plaintiff DNAK2, the legal title holder to the Property, is a limited liability company (“LLC”). (Complaint, ¶ 2.) Accordingly, DNAK2 is not an “individual” who qualifies as a “consumer” under the CLRA. (Civ. Code § 1761(d); see *Cooper v. Simpson Strong-Tie Company, Inc.* (N.D. Cal. 2020) 460 F.Supp.3d 894, 912 [LLC that owned a home was not a “consumer” that could assert a claim under CLRA because CLRA contemplated a “consumer” as an individual who had acquired a product for personal, family, or household purposes, all of which LLC, as a corporation, was unable to do].) In their Opposition, Plaintiffs concede that an LLC cannot assert a CLRA claim. (Opp., p. 9.)

Peltz Defendants further contend that Plaintiffs cannot assert a CLRA claim because the Complaint alleges they used the Property “for rental purposes with Airbnb,” and not for personal, family, or household purposes.” (Complaint, ¶ 17.) In opposition, Plaintiffs argue that under *Protect Our Neighborhoods v. City of Palm Springs* (2002) 73 Cal.App.5th 667, 679, the short-term rental of a single-family home does not convert the property into a commercial use. (Opp. 9-10.) However, *Protect Our Neighborhoods* discussed only whether the short-term rental of a home constitutes “commercial use” in the context of a zoning ordinance, and made no mention of a “consumer” or the CLRA. (*Protect Our Neighborhoods*, *supra*, 73 Cal.App.5th at 678-681.) Here, the facts do not support that Plaintiffs’ use of the Property was for “personal, family, or household purposes” to allow Plaintiff Kogan, an individual, to assert a claim against Defendants under the CLRA.

Demurrer as to the 2nd, 3rd and 11th Causes of Action SUSTAINED with leave to amend. Plaintiffs to file amended complaint within 20 days.

Demurrer as to the 5th and 9th Causes of Action OVERRULED.

Case Management Conference continued from 9.10.26 to 10.22.26.

3.

CASE #	CASE NAME	HEARING NAME
CVPS2601632	KOGAN VS PELTZ	MOTION TO STRIKE COMPLAINT OF VADIM “DAVID” KOGAN BY DEFENDANT BEAU JAMES PELTZ, INDIVIDUALLY AND DOING BUSINESS AS CLEARLY THE BEST POOLS SERVICE

Tentative Ruling: “Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike [a pleading] or any part thereof[.]” (C.C.P. § 435(b)(1).)

The Court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, “[s]trike out any irrelevant, false, or improper matter inserted in any pleading.” (C.C.P. § 436(a).) “The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice.” (C.C.P. § 437(a).)

A motion to strike is the proper vehicle to attack a claim for punitive damages where facts alleged do not rise to the level of fraud, malice or oppression. (*Truman v. Turning*

Point of Central Calif., Inc. (2010) 191 Cal.App.4th 53, 63.) To support a demand for punitive damages under Civ. Code § 3294, a plaintiff must plead and prove facts demonstrating malice, oppression or fraud as defined in Civ. Code § 3294(c).

Peltz Defendants argues that although Plaintiffs' prayer seeks punitive damages, Plaintiffs fail to specify which causes of action justify such damages. Peltz Defendants further contend that not all of the causes of action allege sufficient facts to justify a request for punitive damages. However, Peltz Defendants omit Plaintiffs' seventh, tenth, and twelfth causes of action for fraud-related claims from their list of claims that allegedly do not support a prayer for punitive damages (Opp., pp. 4-5), and have not demurred to these fraud-related causes of action. Because Plaintiffs' seventh, tenth, and twelfth causes of action for fraud-related claims survive, Plaintiffs' prayer for punitive damages based on fraud survives as well.

Peltz Defendants seek to strike the portion of the fourth through fourteenth causes of action that incorporates preceding allegations by reference. However, on a motion to strike, as with a demurrer, the court reads a complaint as a whole, and accepts the facts alleged as true. (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.) Accordingly, reading the Complaint as a whole, the Court interprets the fourth through fourteenth causes of action to include the actions and omissions detailed in the preceding paragraphs.

As to the 2nd and 3rd Causes of Action, the Peltz Defendants' Motion to Strike Punitive Damages is MOOT.

As to the first paragraph of the 4th through 14th Causes of Action, Peltz Defendants' Motion to Strike Punitive Damages is DENIED.

4.

CASE #	CASE NAME	HEARING NAME
CVPS2601632	KOGAN VS PELTZ	MOTION TO STRIKE COMPLAINT OF VADIM "DAVID" KOGAN BY DEFENDANT AMERICAN CONTRACTORS INDEMNITY COMPANY

Tentative Ruling: "Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike [a pleading] or any part thereof[.]" (C.C.P. § 435(b)(1).)

The Court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, "[s]trike out any irrelevant, false, or improper matter inserted in any pleading." (C.C.P. § 436(a).) "The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice." (C.C.P. § 437(a).)

The Complaint's prayer seeks the following against all Defendants, including ACIC: (1) general, special, and consequential damages; (2) exemplary and punitive damages; (3) disgorgement; (4) legal interest; (5) judgment on the surety bonds; (6) attorney fees; (7) costs of suit incurred; and (8) further relief as the Court deems just and proper.

ACIC argues that the Complaint alleges only two causes of action against it – the fourth cause of action for enforcement of statutory bond and the fourteenth cause of action for declaratory relief, neither of which supports Plaintiffs' prayer for damages. Specifically, Plaintiffs' fourth cause of action for enforcement of bond seeks to recover from a surety